

upward price trend ends and a stair-step decline begins. Make sure that each peak is below the price of the prior one.

Proportion. The patterns I chose appeared similar in size and shape, meaning I did not mix wide and tall peaks with short ones. Consider [Figure 61.2](#). Peaks A1, A2, and A3 appear similar in magnitude. They are all significant peaks, and each peak is below the one before.

Notice that the B peaks (B1, B2, B3) are much smaller in size and shape but distinguishable as three independent peaks, not three peaks born from the same congestion region. Both A1 to A3 and B1 to B3 are valid three falling peaks patterns.

The reason for the rule about proportion is to avoid confusion about peak selection. Consider peaks C and D. To me, these look like something I missed with my lawnmower. They are minor highs, as are the other A peaks, but they are not of the same magnitude. They are 1- or 2-day price spikes that appear out of place with the rounded-appearing A1 peak.

[Table 61.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Look for three peaks, each priced below the prior one and each appearing similar.
Price trend	Start at the end of an upward price trend and look for three descending peaks.
Proportion	Each peak should look similar to its preceding peak. If you begin with wide peaks, select only wide ones, but be flexible.
Breakout direction, confirmation	The breakout is always downward when price closes below the bottom of the lowest price in the pattern. The pattern confirms as valid only after a downward breakout.